world stage with a decisive military victory over Russia, then a major European colonial power. [22]

China embarked upon a similar transformation over a century later. In 1978, China's leader Deng Xiaoping made a path-breaking visit to Japan: the first ever by a Chinese leader to that country. During this visit, he accompanied Nissan's chairman for a tour of one of his car company's plants, which had just installed robots in its auto manufacturing lines. Deng was impressed to learn that the plant produced ninety-four cars per worker per year. [23] The next year, four special districts were established in China that could use a 'special policy, with flexible measures' to attract foreign investment. 'Modern management systems' were adopted not only by Chinese enterprises but also government and party units. In these regions, experimentation was encouraged in industry, construction, labour, finance, foreign currency, and even local voting, while efforts were made to preserve the primacy of the Chinese Communist Party, constrain markets to serve public welfare, and ensure ultimate state control over key enterprises, land, and planning. [24]

A big part of China's push involved courting investment. Two-thirds of FDI into China between 1979 and 1995 came via Hong Kong and efforts were made to appeal to the Chinese diaspora in Taiwan, the United States, and Southeast Asia. But more importantly, policies began to change in practice and not just in theory. Single-stop decision centres were established to arrange for electricity, transportation, construction, labour, and permits for investors. The most successful regions and townships were those that centralized official decision-making from one government office. There were other things that Communist China had to learn: the practice of setting prices for foreign investors that were neither exorbitant, nor so low as to not raise revenue; an acceptance that investors would be deterred without high returns on investment, which meant that concerns about the exploitation of Chinese labour had to be relaxed; and that assurances were required on contracts, timeliness, dispute resolution, legal procedures, sanitation, efficiency, and customer service. The results of these and other